GAAP, DECISION USEFUL FINANCIAL REPORTING

Learning Outcome

- describe a spectrum for assessing financial reporting quality

At the top of the spectrum, labeled in Exhibit 2 as "GAAP, decision-useful, sustainable, and adequate returns," are high-quality reports that provide useful information about high-quality earnings.

- High-quality financial reports conform to the generally accepted accounting principles (GAAP) of the jurisdiction, such as International Financial Reporting Standards (IFRS), US GAAP, or other home-country GAAP. The exhibit uses the term GAAP to refer generically to the accounting standards accepted in a company's jurisdiction.
- In addition to conforming to GAAP, high-quality financial reports also embody the characteristics of decision-useful information, such as those defined in the *Conceptual Framework*.[2] Recall that the fundamental characteristics of useful information are relevance and faithful representation. Relevant information is defined as information that can affect a decision and encompasses the notion of materiality. (Information is considered material if "omitting it or misstating it could influence decisions that users make on the basis of the financial information of a specific reporting entity."[3]) Faithful representation of economic events is complete, neutral, and free from error.

The *Conceptual Framework* also enumerates enhancing characteristics of useful information: comparability, verifiability, timeliness, and understandability. Of course, the desirable characteristics for financial information require trade-offs. For example, financial reports must balance the aim of providing information that is produced quickly enough to be timely and thus relevant, and yet not so quickly that errors occur. Financial reports must balance the aim of providing information that is complete but not so exhaustive that immaterial information is included. High-quality information results when these and other trade-offs are made in an unbiased, skillful manner.

- High-quality earnings indicate an adequate level of return on investment and derive from activities that a company likely will be able to sustain in the future. An adequate level of return on investment exceeds the cost of the investment and also equals or exceeds the expected return. Sustainable activities and sustainable earnings are those expected to recur in the future. Sustainable earnings that provide a high return on investment contribute to higher valuation of a company and its securities.

GAAP, Decision-Useful, but Sustainable?

The next level down in Exhibit 2, "GAAP, decision-useful, but sustainable?" refers to circumstances in which high-quality reporting provides useful information, but that information reflects results or earnings that are not sustainable (lower earnings quality). The earnings may not be sustainable because the company cannot expect earnings that generate the same level of return on investment in the future or because the earnings, although replicable, will not generate sufficient return on investment to sustain the company. Earnings quality is low in both cases. Reporting can be high quality even when the economic reality being depicted is not of high quality. For example, consider a company that generates a loss, or earnings that do not provide an adequate return on investment, or earnings that resulted from non-recurring activities. The relatively undesirable economic reality could nonetheless be depicted in financial reporting that provides high-quality, decision-useful information.

Exhibit 3 presents an excerpt from the fiscal year 2014 first-quarter results of Toyota Motor Corporation, a Japanese automobile company. As highlighted by a *Wall Street Journal*

The weaker yen benefited Toyota both because the company manufactures more cars in Japan (compared with its competitors) and because the company sells a significant number of cars outside of Japan. Exchange rate weakening is a less sustainable source of profits than manufacturing and selling cars. In summary, this example is a case of high-quality financial reporting coupled with lower earnings quality.

Exhibit 3:

Excerpt from Toyota Motor Corporation's Consolidated Financial Results for FY2014 First Quarter Ending 30 June 2013

Consolidated vehicle unit sales in Japan and overseas decreased by 37 thousand units, or 1.6%, to 2,232 thousand units in FY2014 first quarter (the three months ended June 30, 2013) compared with FY2013 first quarter (the three months ended June 30, 2012). Vehicle unit sales in Japan decreased by 51 thousand units, or 8.8%, to 526 thousand units in FY2014 first quarter compared with FY2013 first quarter. Meanwhile, overseas vehicle unit sales increased by 14 thousand units, or 0.8%, to 1,706 thousand units in FY2014 first quarter compared with FY2013 first quarter.

As for the results of operations, net revenues increased by 753.7 billion yen, or 13.7%, to 6,255.3 billion yen in FY2014 first quarter compared with FY2013 first quarter, and operating income increased by 310.2 billion yen, or 87.9%, to 663.3 billion yen in FY2014 first quarter compared with FY2013 first quarter. The factors contributing to an increase in operating income were the effects of changes in exchange rates of 260.0 billion yen, cost reduction efforts of 70.0 billion yen, marketing efforts of 30.0 billion yen and other factors of 10.2 billion yen. On the other hand, the factors contributing to a decrease in operating income were the increase in expenses and others of 60.0 billion yen.

Source: Back Aaron 2013. "Toyota, What a Difference the Yen Makes." *Wall Street Journal* (4 August 2013).

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